



Predicting market changes

Being able to predict what might happen in the stock market is extremely useful to investors looking to profit from buying financial assets.

How it works

Investors use analysis to try to understand where a company, share, or stock market might be heading. They want to determine whether it is likely to increase in value or whether there are factors that signal an impending fall in price or downward cycle. Investors also need to know how markets and economies are behaving, and how that behavior is likely to affect the performance of other sectors or companies, before deciding to buy shares of companies that they think will do well in the hope of achieving capital growth.

However, prediction techniques are far from foolproof and there is no statistically significant evidence to show that correct predictions are based on anything other than luck.

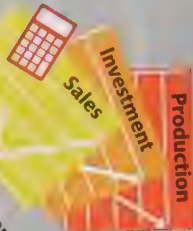
Predicting the stock market

Accurate market analysis and forecasting can help investors buy or sell shares at the right time, invest in the right sectors or geographical regions, and limit their shares' downside while maximizing their potential profit.

Professional traders have developed ways to evaluate the future direction of a company, share, or index. Two approaches are often used: technical analysis and fundamental analysis.

Fundamental analysis

INTERIM REPORTS
Financial results give investors potentially valuable information about a company's profits, challenges, market position and prospective growth.



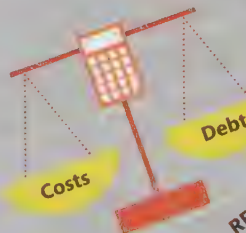
Company A

vs



Company B

COMPETITORS
Investors can gain clues to help predict price movements by tracking the fortunes of rival firms.



Costs

Debt

REVENUES
Investors can assess a company's financial health by examining the fundamentals: how much debt and income a company has.

Investors use fundamental

analysis to educate themselves about a company's challenges, profits, market position, and prospective growth. They study its annual and interim reports and balance sheet, and analyse its past and projected performance. They compare its revenues with its costs and debt, look at its profit margins, and take into account the quality and experience of its management to help them gauge its probable future profitability.